

Introduction

This cheatsheet covers fundamental principles of management, drawing from the works of F.W. Taylor (Scientific Management) and Henri Fayol (Administrative Principles).

- F.W. Taylor: American mechanical engineer, focused on **Scientific Management**.
- Henri Fayol: French mining engineer, emphasized **Administrative Principles**.

Nature of Principles of Management

Managerial principles are guidelines for decision-making and behavior, less rigid than pure science principles due to their focus on human behavior.

- **Universal applicability:** Applicable to all types of organizations (business, non-business).
- **General guidelines:** Provide direction for action, not absolute prescriptions.
- **Formed by practice and experimentation:** Developed from collective wisdom and experience of managers.
- **Flexible:** Can be modified as per situational demands.
- **Mainly behavioral:** Influence human behavior, focusing on emphasis rather than absolute rules.
- **Cause and effect relationships:** Establish clear links between actions and outcomes.
- **Contingent:** Application depends on the prevailing situation.

Taylor's Scientific Management

Scientific management aims to find the "one best way" to do a job, maximizing efficiency and economy.

- **Science, not Rule of Thumb:**
 - Replace old methods with scientific analysis to develop the most efficient way.
 - Example: Scientifically planning tasks like loading pigs of iron into boxcars.
 - **Harmony, Not Discord:**
 - Promote complete harmony between management and workers (mental revolution).
 - Management should share gains with workers, and workers should contribute to profits.
 - **Cooperation, Not Individualism:**
 - Replace competition with cooperation between labor and management.
 - Extension of "Harmony, not Discord" principle.
 - **Development of Each and Every Person to His or Her Greatest Efficiency and Prosperity:**
 - Industrial efficiency depends on personnel competencies.
 - Ensure maximum efficiency and prosperity for both company and workers.
- Techniques of Scientific Management**
- **Functional Foremanship:**
 - Extension of division of work and specialization to the shop floor.
 - **Planning Incharge:** Instruction card clerk, route clerk, time and cost clerk, disciplinarian.
 - **Production Incharge:** Speed boss, gang boss, repair boss, inspector.
 - **Standardization and Simplification of Work:**
 - **Standardization:** Setting standards for every business activity (process, raw material, time, product, methods, working conditions).
 - Objectives: Reduce product variety, ensure interchangeability, establish quality standards, set performance benchmarks.
 - **Simplification:** Eliminating unnecessary varieties, sizes, and dimensions of products.
 - Results in cost savings, reduced inventories, fuller equipment utilization, and increased turnover.
 - **Method Study:**
 - Objective: Find the "one best way" to perform a job.
 - Considers all activities from raw material procurement to final product delivery.
 - **Motion Study:**
 - Study movements (lifting, putting objects, sitting, changing positions) in a typical job.
 - Aim: Eliminate unnecessary movements to save time and improve efficiency.
 - **Time Study:**
 - Determine the standard time required to perform a well-defined job.
 - Uses time-measuring devices; standard time fixed by taking several readings.
 - **Fatigue Study:**
 - Analyze the amount and frequency of rest intervals needed to prevent physical and mental fatigue.
 - **Differential Piece Wage System:**
 - Reward efficient workers more than inefficient ones based on performance standards.

- Introduces mental revolution: change in attitude from competition to cooperation.

Fayol's Principles of Management

Henri Fayol's 14 principles of management provide a general administrative theory.

1. **Division of Work:**
 - Work is divided into small, specialized tasks.
 - A trained specialist performs each job, leading to specialization and efficiency.
2. **Authority and Responsibility:**
 - **Authority:** Right to give orders and obtain obedience (official and personal).
 - **Responsibility:** Consequence of authority.
 - Managers need authority commensurate with responsibility; a balance is crucial.
3. **Discipline:**
 - Obedience to organizational rules and employment agreements.
 - Requires good superiors, clear agreements, and judicious application of penalties.
4. **Unity of Command:**
 - Each employee should receive orders from only one superior.
 - Violation leads to confusion and instability.
5. **Unity of Direction:**
 - All units of an organization should move towards the same objectives.
 - Each group of activities with the same objective needs one head and one plan.
6. **Subordination of Individual Interest to General Interest:**
 - Organizational interests must take priority over individual employee interests.
7. **Remuneration of Employees:**
 - Fair overall pay and compensation for both employees and the organization.
8. **Centralization and Decentralization:**
 - **Centralization:** Concentration of decision-making authority.
 - **Decentralization:** Dispersal of authority.
 - The degree depends on the organization's size and circumstances.
9. **Scalar Chain:**
 - Formal line of authority from highest to lowest ranks.
 - Communication should follow this chain.
 - **Gang Plank:** A shorter route for communication in emergencies (e.g., E can contact O directly).
10. **Order:**
 - "A place for everything (everyone) and everything (everyone) in its (her/his) place."
 - Ensures proper arrangement of people and materials for maximum efficiency.
11. **Equity:**
 - Kindness and justice in managers' behavior towards workers.
 - Ensures loyalty and devotion.
12. **Stability of Personnel:**
 - Minimize employee turnover for organizational efficiency.
 - Proper selection and appointment, followed by job security.
13. **Initiative:**
 - Employees should be encouraged to take initiative within the boundaries of authority and discipline.
 - Fosters innovation and engagement.
14. **Esprit de Corps:**
 - Promote team spirit, unity, and harmony among employees.
 - "Union is Strength."